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Trade Practices Act 1974

Undertaking to the Australian Competition
and Consumer Commission by
Skandinavisk Holding A/S and Swedish
Match A/B

Contents

Page

1	Persons giving this Undertaking	1
2	Background	1
	The Parties and the transaction	1
3	Defined terms and interpretation	3
3.1	Definitions in the Dictionary	3
3.2	Interpretation	3
4	Commencement and termination of Undertaking	3
4.1	Commencement	3
4.2	Termination	3
5	Sale of Divestiture Business	3
5.1	Divestiture	3
5.2	Licences, permits, regulatory approvals and Third Party Consents	4
5.3	Interim supply and toll manufacturing arrangements for Divestiture Business	5
6	Sale of Divestiture Business to the Approved Purchaser	6
6.1	Proposed Purchaser Notice	6
6.2	Approval Notice	6
7	Divestiture Business protection	7
7.1	Protection of the Divestiture Business	7
7.2	Prices of Products	8
7.3	Direction to personnel	8
7.4	Confidential Information	8
8	Independent audit	8
8.1	Obligation to appoint an Approved Independent Auditor	8
8.2	Proposed Independent Auditor	9
8.3	Appointment of the Approved Independent Auditor	9
8.4	Obligations relating to the Approved Independent Auditor	10

8.5	Compliance Audit	11
8.6	Resignation or termination of the Approved Independent Auditor	12
8.7	Reporting to the Approved Independent Auditor	12
9	Failure to divest the Divestiture Business within the Divestiture Period	13
9.1	Sale of the Unsold Divestiture Business	13
9.2	Proposed Divestiture Agent	13
9.3	Appointment of the Approved Divestiture Agent	14
9.4	Obligations relating to the Approved Divestiture Agent	14
9.5	Powers of the Approved Divestiture Agent	16
9.6	Resignation or termination of the Approved Divestiture Agent	17
9.7	Proposed Purchaser Notice	17
9.8	Approval Notice	17
10	Information	18
11	Disclosure of Undertaking	19
12	Obligation to procure	20
13	No Derogation	20
14	Costs	20
15	Notices	20
15.1	Giving Notices	20
15.2	Change of address or fax number	21
Schedule 1	Dictionary	23
1.1	Dictionary	23
1.2	Interpretation	24
Schedule 2	Confidential	26
Schedule 3	Divestiture Business	27

1 Persons giving this Undertaking

- (a) This Undertaking is given to the Australian Competition and Consumer Commission (ACCC) by:
 - (i) Skandinavisk Holding A/S (**SH**), on behalf of itself and its subsidiaries including its wholly owned Subsidiary Scandinavian Tobacco Group A/S (**STG**); and
 - (ii) Swedish Match AB (**SM**), on behalf of itself and its Subsidiaries including its wholly owned Subsidiary, Swedish Match Australia Pty Limited ACN 081 215 321 (**SM Australia**).
- (together **the Parties**)
- (b) A reference in this Undertaking to 'the Parties' refers to SH and SM both jointly and severally.

2 Background

The Parties and the transaction

- (a) STG is a privately owned Danish company with manufacturing facilities in Belgium, Denmark, the Netherlands, Indonesia, the Dominican Republic, Honduras and Nicaragua. STG also has sales offices in Canada, France, the United Kingdom, Belgium, Netherlands, Luxembourg, Denmark, Germany, Spain, Portugal and the United States. STG manufactures and supplies cigars, pipe tobacco, roll-your-own tobacco and tobacco accessories (eg rolling papers). STG also supplies a small range of cigarettes in Norway and smokeless tobacco products (eg chewing tobacco and Swedish snuff) in Denmark.
- (b) SM is a publicly listed company headquartered in Sweden. SM Australia is the Australian based operating division of SM. SM Australia imports and wholesales SM cigar products to independent wholesalers/distributors and direct to retailers nationally.
- (c) On 23 April 2010, STG and SM entered into an agreement to create a company to be held and controlled by STG. STG will hold 51% of the issued shares in the company and the remaining 49% of the issued shares will be held by SM (**Proposed Merger**).
- (d) The Parties are involved in the wholesale supply of cigar products in Australia. On behalf of SH, STG's cigar products are imported and distributed in Australia through Stuart Alexander & Co Pty Ltd (**Stuart Alexander**). SM's cigar products are only imported and distributed through SM Australia.

The ACCC's review

- (e) On 24 June 2010, the ACCC commenced its public review of the Proposed Merger.
- (f) The ACCC undertook market inquiries and considered information provided by the parties, industry participants and others. The ACCC's inquiries were aimed at assessing whether or not the Proposed Merger would have the effect or be likely to have the effect of substantially lessening competition in a market in contravention of section 50 of the *Trade Practices Act 1974* (the **Act**).

The ACCC's competition concerns

- (g) The ACCC considered that, in the absence of this Undertaking, the Proposed Merger would result, or be likely to result in, a substantial lessening of competition in relation to the wholesale supply of cigars.

- (h) The ACCC considered that without this Undertaking, the Proposed Merger would result in a significant concentration of cigar wholesale suppliers in Australia. As a result of the Proposed Merger, SM will be removed as a vigorous and effective competitor and STG will be one of only two significant suppliers remaining in Australia.
- (i) The ACCC also noted that there are high barriers to entry and expansion in the wholesale supply of cigars and that the threat of such new entry or expansion would not be likely to constrain the merged firm. This is largely due to existing and proposed legislative restrictions on the ability for retailers to promote or display tobacco products, strong customer brand loyalty limiting the extent to which consumers typically switch tobacco product brands, difficulties faced by wholesale suppliers in accessing retailer shelf space, and the associated high sunk costs and long lead times.
- (j) The ACCC further noted that the threat of wholesale customers bypassing the merged firm would not be likely to constrain the merged firm. This is mainly due to the high barriers to entry and expansion, which limit the ability of wholesale customers to sponsor new entry, or the expansion of an existing Australian supplier, given that any such new entry or expansion would not be likely to gain any significant share of Australian sales. Additionally, parallel imports are not likely to constrain the merged firm, given that the merged firm would be able to identify the source of such imports and cause their related or third party suppliers to cease supply, the reluctance of wholesale customers to source such imports, and the fact that parallel imports occur on an inconsistent basis and are of variable quality.
- (k) The ACCC considered that, without this Undertaking, there would be a substantial lessening of competition in the market for the wholesale supply of cigars as a result of the Proposed Merger.

The Parties' proposed divestiture of the Divestiture Business

- (l) The Parties do not consider that the Proposed Merger would be likely to substantially lessen competition in the relevant markets. However, as part of the Parties' request for informal clearance of the Proposed Merger, and in order to address the ACCC's competition concerns, the Parties have, without admission, provided this Undertaking pursuant to section 87B of the Act.
- (m) The Parties addressed the ACCC's competition concerns by offering this Undertaking to divest the Divestiture Business as a competitive going concern. The terms by which the Divestiture Business is to be divested are described in this Undertaking. This Undertaking is given by both parties due to the formation of a new entity as part of the Proposed Merger with 51% ownership by STG and 49% ownership by SM. In addition, the brands in Schedule 3 to be divested are owned by SM.
- (n) The Divestiture Business is the business described in Schedule 3 of this Undertaking including trade mark registrations, copyright, other Intellectual Property rights and existing stock of the Products.
- (o) The objective of this Undertaking is to address the ACCC's competition concerns which would otherwise arise as a consequence of the Proposed Merger.
- (p) This Undertaking aims to maintain competition which existed before the Proposed Merger through:
 - (i) the creation of a viable, effective, stand-alone independent and long term competitor for the retail supply of those Products that form part of the Divestiture Business;
 - (ii) ensuring that the Approved Purchaser of the Divestiture Business has the necessary assets, rights and obligations to compete effectively with the Parties in the relevant markets; and

- (iii) the Approved Purchaser having the ability to manufacture and supply the Products that form part of the Divestiture Business independently of the Parties and ensuring that any interim supply, toll manufacturing or technical assistance arrangements with the purchaser will be at arm's length and on terms no less favourable than normal commercial terms.

3 Defined terms and interpretation

3.1 Definitions in the Dictionary

A term or expression starting with a capital letter:

- (a) which is defined in the Dictionary in Schedule 1 (**Dictionary**), has the meaning given to it in the Dictionary; or
- (b) which is defined in the Corporations Act, but is not defined in the Dictionary, has the meaning given to it in the Corporations Act.

3.2 Interpretation

The interpretation clause in Schedule 1 sets out rules of interpretation for this Undertaking.

4 Commencement and termination of Undertaking

4.1 Commencement

This Undertaking comes into effect (the **Commencement Date**) when:

- (a) this Undertaking is executed by the Parties; and
- (b) this Undertaking so executed is signed by the ACCC.

4.2 Termination

- (a) This Undertaking will terminate on the date the ACCC confirms to the Parties in writing that:
 - (i) the sale of the Divestiture Business has been completed; and
 - (ii) any obligations to procure the transfer, grant, or provision of licences, permits, approvals, Third Party Consents and transitional services necessary for the operation of the Divestiture Business have been fulfilled.
- (b) Notwithstanding clause 4.2(a), this Undertaking terminates on the date the ACCC consents in writing to the withdrawal of this Undertaking in accordance with section 87B of the Act.

5 Sale of Divestiture Business

5.1 Divestiture

- (a) The Parties must, within the Divestiture Period and in accordance with this Undertaking, divest, or cause the divestiture of, the Divestiture Business to the Approved Purchaser.
- (b) The Parties must divest the Divestiture Business on terms which include:

- (i) the sale, assignment, transfer or perpetual licence to the Approved Purchaser of all trade mark registrations, copyright and Intellectual Property rights relating to the Products;
 - (ii) any necessary interim arrangements as described in clause 5.3(a), for the supply or toll manufacturing of the Products that form part of the Divestiture Business;
 - (iii) at the option of the Approved Purchaser, the provision by the Parties of services and/or Technical Assistance that the Approved Purchaser requires subject to the services and Technical Assistance being:
 - (A) provided on a transitional basis;
 - (B) provided on arm's length terms; and
 - (C) approved by the ACCC.
- (c) At the option of the Approved Purchaser, the Parties will transfer to the Approved Purchaser as part of the Divestiture Business, with effect from the Divestiture Date:
- (i) all employees employed, other than the Excluded Employee, in the operation of the Divestiture Business;
 - (ii) any other employees of SM; and
 - (iii) any service provider under a contract for service with SM;
- who are, in each case, necessary for the Approved Purchaser to maintain, operate and conduct effectively the Divestiture Business and who consent to the transfer of their employment to the Approved Purchaser (**Transferred Personnel**).
- (d) When fulfilling their obligations under clause 5.1(c), the Parties must release the Transferred Personnel from:
- (i) any obligations to provide services to the Parties;
 - (ii) any non-compete or similar restraint of trade obligation, to the extent that such obligation would otherwise prevent the person from performing his or her contemplated role in relation to the Divestiture Business or Unsold Business; and
 - (iii) not procure, promote or encourage the transfer of any of the Transferred Personnel from the Approved Purchaser to the Parties for a period of six months from the Divestiture Date.
- (e) The Parties must do everything in their power or control to enforce the terms of any agreement with the Approved Purchaser under which the Approved Purchaser is obliged to acquire the Divestiture Business.

5.2 Licences, permits, regulatory approvals and Third Party Consents

- (a) The Parties must before the Divestiture Date effect or obtain the transfer to the Approved Purchaser of, or assist the Approved Purchaser to obtain, subject to law, all licences, permits and/or other regulatory approvals that are required for the operation of the Divestiture Business.
- (b) The Parties must:

- (i) obtain or assist the Approved Purchaser to obtain all Third Party Consents before the Divestiture Date;
 - (ii) comply with all requirements necessary to obtain any Third Party Consents, including by promptly providing to the third party information necessary for the Third Party Consents to be given; and
 - (iii) act in good faith in their negotiations with the Approved Purchaser in relation to obtaining any Third Party Consents.
- (c) If, seven Business Days before the Divestiture Date, an Approved Purchaser fails to obtain or is unable to obtain any licence, permit or other regulatory approval referred to in clause 5.2(a) above or an Approved Purchaser fails to obtain or is unable to obtain any Third Party Consents, then:
- (i) the Parties must immediately provide to the ACCC, in writing, details of those licences, permits, approvals or Third Party Consents and include reasons why those licences, permits, approvals or Third Party Consents could not be obtained prior to that date, and identify the information or material required to obtain the licences, permits, approvals or Third Party Consents; and
 - (ii) the Parties must continue to do everything in their power to satisfy clauses 5.2(a) and 5.2(b) above as soon as possible after the Divestiture Date (and until such time as clauses 5.2(a) and 5.2(b) are satisfied).
- (d) Notwithstanding that the Parties have complied with clauses 5.2(a), 5.2(b) and 5.2(c) of this Undertaking, it remains a breach of this Undertaking if the Parties are unable to effect the divestiture of the Divestiture Business by reason of a failure to obtain any licences, permits, approvals or Third Party Consents.

5.3 Interim supply and toll manufacturing arrangements for Divestiture Business

- (a) In relation to the arrangements in clause 5.1(b)(ii), the Parties must ensure the reasonable and continuous supply of the Products that form part of the Divestiture Business for the term of the arrangements and that the terms of the supply or toll manufacturing are:
 - (i) for a reasonable period to enable the establishment of the Divestiture Business as a competitive, viable and independent business, which period is to be nominated by the Approved Purchaser;
 - (ii) provided at the price specified in clause 2 of Confidential Schedule 2 or such other price agreed between the parties and approved by the ACCC;
 - (iii) on such other terms which are no less favourable to the Approved Purchaser than arm's length terms; and
 - (iv) approved by the ACCC.
- (b) For the avoidance of doubt, the arrangements in clause 5.1(b)(ii) are able to be renewed subject to the requirements of clause 5.3(a) being satisfied.

6 Sale of Divestiture Business to the Approved Purchaser

6.1 Proposed Purchaser Notice

- (a) If the Parties seek to have a purchaser (the **Proposed Purchaser**), approved by the ACCC in accordance with clause 6.2(a) the Parties must give the ACCC written notice (the **Proposed Purchaser Notice**), containing:
 - (i) the name, address, telephone number and any other available contact details of the Proposed Purchaser;
 - (ii) a copy of the proposed Sale and Purchase Agreement;
 - (iii) a description of the business carried on by the Proposed Purchaser including the locations in which the Proposed Purchase carries on its business;
 - (iv) details of the Proposed Purchaser's experience in the relevant market;
 - (v) the names of the owner and the directors of the Proposed Purchaser; and
 - (vi) a submission from the Parties addressing the factors set out in clause 6.2(b).
- (b) A Proposed Purchaser Notice must be given to the ACCC at least 20 Business Days prior to the end of the Divestiture Period.

6.2 Approval Notice

- (a) The ACCC must, within 10 Business Days after receipt by the ACCC of the Proposed Purchaser Notice, or such further period as is required by the ACCC and notified to the Parties in writing prior to the expiration of the 10 Business Day period, notify the Parties of its decision, either:
 - (i) stating by written notice (**Approval Notice**) that the Proposed Purchaser is an Approved Purchaser; or
 - (ii) refusing to provide an Approval Notice in relation to that Proposed Purchaser.
- (b) Without limiting the ACCC's discretion, in making a decision to provide an Approval Notice, the factors to which the ACCC may have regard include whether:
 - (i) the Proposed Purchaser will complete the transaction as contemplated by the ACCC approved Sale and Purchase Agreement pursuant to which the Proposed Purchaser will acquire from the Parties the Divestiture Business;
 - (ii) the Proposed Purchaser is independent of, and has no direct or indirect interest in, the Parties;
 - (iii) the Proposed Purchaser is of good financial standing and has an intention to maintain and operate the business as a going concern;
 - (iv) the Proposed Purchaser is able to conduct the business effectively; and
 - (v) the sale of the Divestiture Business to the Proposed Purchaser will address any competition concerns of the ACCC, including the likely long-term viability and competitiveness of the Divestiture Business under the ownership of the Proposed Purchaser.

- (c) The ACCC may revoke the Approved Purchaser's status as the Approved Purchaser of the Divestiture Business and its acceptance of this Undertaking if the ACCC becomes aware that the information provided to it was incorrect, inaccurate or misleading.

7 Divestiture Business protection

7.1 Protection of the Divestiture Business

- (a) From the Commencement Date, the Parties must not sell or transfer their interest, or any assets comprising part of, or used in, the Divestiture Business (other than the sale of stock in the ordinary course of business) or make any Material Change, except in accordance with this Undertaking or as required to allow completion of the Proposed Merger.
- (b) Without limiting this clause 7, the Parties must, from the Commencement Date until the Divestiture Date, take all steps to:
 - (i) ensure that the Divestiture Business is managed and operated in the ordinary course of business as a fully operational, competitive going concern and in such a way that preserves the economic viability, marketability, competitiveness and goodwill of the Divestiture Business at the Commencement Date;
 - (ii) minimise any risk of loss of competitive potential for the Divestiture Business;
 - (iii) maintain the supply of those Products that form part of the Divestiture Business to existing distributors, wholesalers and retailers in a manner consistent with the supply of those Products as at the Commencement Date;
 - (iv) maintain the standards of manufacture, distribution, promotion and sale of those Products that form part of the Divestiture Business as at the Commencement Date;
 - (v) ensure that arrangements, agreements or contracts with distributors, wholesalers, retailers and other third parties that are in place on the Commencement Date relating to the Divestiture Business continue, subject to any Material Changes made by the Parties to improve the operational efficiency of the Divestiture Business and which are approved in writing by the ACCC;
 - (vi) carry out promotion and marketing of the Products which form part of the Divestiture Business in accordance with any plans established before the Commencement Date;
 - (vii) continue to provide access to working capital and sources of credit for the Divestiture Business in a manner which is consistent with the financing of the Divestiture Business before the Commencement Date; and
 - (viii) provide administrative, promotional, technical and marketing support for the Divestiture Business in a manner which is consistent with the operation of the Divestiture Business before the Commencement Date and in accordance with any plans established before the Commencement Date.
- (c) From the Commencement Date until the Divestiture Date, the Parties:
 - (i) will not terminate or vary the terms of employment or engagement of any of the Transferred Personnel, or agree to do any of those things; and
 - (ii) will not directly or indirectly procure, promote or encourage the redeployment of personnel necessary for the operation of the Divestiture Business as at the

Commencement Date to any other business operated by the Parties, except as required to allow completion of the Proposed Merger.

7.2 Prices of Products

From the Commencement Date until the Divestiture Date, the Parties will not:

- (a) increase the prices at which it supplies those Products that form part of the Divestiture Business to wholesalers, distributors or retailers by more than:
 - (i) the amount of any increase in any tax applicable to the Products, where the increase takes effect after the date of this Undertaking; and
 - (ii) the change in the Consumer Price Index since the last price increase for the Products (expressed as a percentage), applied to the components of the price other than tax; or
- (b) remove any wholesale or retail rebates or discounts that apply to those Products that form part of the Divestiture Business.

7.3 Direction to personnel

As soon as practicable after the Commencement Date, the Parties must direct their personnel in Australia, including directors, contractors, managers, officers, employees and agents not to do anything inconsistent with the Parties' obligations under this Undertaking.

7.4 Confidential Information

- (a) Subject to clause 7.4(b), the Parties must not, at any time from the Commencement Date and for a period of 12 months after the termination of this Undertaking, use or disclose any confidential information about the Divestiture Business gained through:
 - (i) ownership and/or management of the Divestiture Business;
 - (ii) the provision of any services or Technical Assistance to the Approved Purchaser; or
 - (iii) the supply or toll manufacturing of the Products that form part of the Divestiture Business.
- (b) Clause 7.4(a) does not apply to information that:
 - (i) the Parties require to comply with legal and regulatory obligations including obligations relating to taxation, accounting, financial reporting or stock exchange disclosure requirements; or
 - (ii) the Parties require to carry out their obligations under this Undertaking or to comply with legal or regulatory obligations provided such information is only used for that purpose and is only disclosed to those officers, employees, contractors and advisers of the Parties who need to know the information to carry out the permitted purpose.

8 Independent audit

8.1 Obligation to appoint an Approved Independent Auditor

The Parties must appoint and maintain an Approved Independent Auditor to perform the functions set out in this clause 8.

8.2 Proposed Independent Auditor

- (a) At least five Business Days before the Completion Date, the Parties must identify a prospective independent auditor (**Proposed Independent Auditor**) and provide the ACCC with written notice of the identity and contact details of the Proposed Independent Auditor.
- (b) The written notice referred to in clause 8.2(a) is to include such information and documents as the ACCC requires to assess whether to object to the appointment of the Proposed Independent Auditor, including a copy of the proposed terms of appointment.
- (c) The Proposed Independent Auditor must be a person who has the qualifications and experience necessary to carry out the functions of the Approved Independent Auditor.
- (d) The Proposed Independent Auditor must be a person who is independent of the Parties. The criteria by which the independence of the Proposed Independent Auditor will be determined include whether the person:
 - (i) is a current employee or officer of either or both of the Parties;
 - (ii) is a person who has been an employee or officer of either or both of the Parties in the past three years;
 - (iii) is a person who, in the opinion of the ACCC, holds a material interest in either or both of the Parties;
 - (iv) is a professional adviser of either or both of the Parties, whether current or in the past three years;
 - (v) is a person who has a contractual relationship, or is an employee or contractor of a firm or company that has a contractual relationship, with either or both of the Parties, but for the terms of any Approved Independent Auditor agreement with the Parties;
 - (vi) is a supplier, or a person who is an employee or contractor of a firm or company that is a supplier of either or both of the Parties;
 - (vii) is a customer of, or a person who is an employee or contractor of a firm or company that has a contractual relationship with, either or both of the Parties; or
 - (viii) has, or has had, any other relationship with either or both of the Parties which, in the opinion of the ACCC, is likely to affect the ability of the person to act independently.

8.3 Appointment of the Approved Independent Auditor

If:

- (a) within three Business Days of receipt by the ACCC of the written notice referred to in clause 8.2(a); or
- (b) such further period as is required by the ACCC and notified to the Parties in writing prior to the expiration of the three Business Day period,

the ACCC informs the Parties in writing that it:

- (c) does not object to the Proposed Independent Auditor, the Parties will:

- (i) appoint the Proposed Independent Auditor as the Approved Independent Auditor as soon as practicable, and by no later than the Completion Date, on terms approved in writing by the ACCC and consistent with the performance by the Approved Independent Auditor of his or her functions under this Undertaking; and
- (ii) forward to the ACCC a copy of the executed terms of appointment within one Business Day of its execution; or
- (d) does object to the Proposed Independent Auditor, the Parties will:
 - (i) appoint a person identified by the ACCC at its absolute discretion as the Approved Independent Auditor on terms approved by the ACCC and consistent with the performance by the Approved Independent Auditor of his or her functions under this Undertaking; and
 - (ii) forward to the ACCC a copy of the executed terms of appointment within one Business Day of its execution.

8.4 Obligations relating to the Approved Independent Auditor

- (a) The Parties must procure that the terms of appointment of the Approved Independent Auditor include obligations on the Approved Independent Auditor to:
 - (i) continue to satisfy the independence criteria in clause 8.2(d) for the period of his or her appointment;
 - (ii) provide any information or documents requested by the ACCC about the Parties' compliance with this Undertaking directly to the ACCC;
 - (iii) report or otherwise inform the ACCC directly of any issues that arise in the performance of his or her functions as Approved Independent Auditor or in relation to any matter that may arise in connection with this Undertaking; and
 - (iv) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Auditor under this Undertaking.
- (b) Without limiting the obligations in this Undertaking, the Parties must:
 - (i) comply with and enforce the terms of appointment for the Approved Independent Auditor;
 - (ii) maintain and fund the Approved Independent Auditor to carry out his or her functions;
 - (iii) indemnify the Approved Independent Auditor for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Auditor of his or her functions as the Approved Independent Auditor except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Auditor;
 - (iv) not interfere with, or otherwise hinder, the Approved Independent Auditor's ability to carry out his or her functions as the Approved Independent Auditor;
 - (v) provide and pay for any external expertise, assistance or advice reasonably required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor;

- (vi) provide to the Approved Independent Auditor any information or documents requested by the Approved Independent Auditor that he or she considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC;
- (vii) not request any information relating to the compliance audit from the Approved Independent Auditor without such a request having been approved by the ACCC;
- (viii) ensure that the Approved Independent Auditor will provide information or documents requested by the ACCC directly to the ACCC;
- (ix) ensure that the Approved Independent Auditor reports or otherwise informs the ACCC directly of any issues that arise in the performance of his or her functions as Approved Independent Auditor or in relation to any matter that may arise in connection with this Undertaking;
- (x) direct their personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 8;
- (xi) from the Completion Date, ensure that all relevant personnel are aware of the Approved Independent Auditor and the obligations in clause 8; and
- (xii) not appoint the Approved Independent Auditor, or have any agreements, understandings or arrangements with the Approved Independent Auditor, to utilise the Approved Independent Auditor's services for anything other than compliance with this Undertaking until at least 12 months after the Approved Independent Auditor ceases to act in the role of the Approved Independent Auditor.

8.5 Compliance Audit

- (a) The Parties will procure that the Approved Independent Auditor prepares the audit report set out in clause 8.5(b) below.
- (b) The Approved Independent Auditor is to prepare a detailed report (**Auditor's Report**) on:
 - (i) the Parties' compliance with this Undertaking;
 - (ii) full reasons for the conclusions reached in the Auditor's Report;
 - (iii) any qualifications made by the Approved Independent Auditor in forming his or her views; and
 - (iv) any recommendations by the Approved Independent Auditor to improve the integrity of the auditing process and any recommendations to improve the Parties' operations, processes or reporting systems in relation to compliance with this Undertaking.
- (c) The Approved Independent Auditor is to provide the first Auditor's Report to the ACCC and the Parties within 10 Business Days of the Completion Date and thereafter every month until the termination of this Undertaking.
- (d) The Parties must require the Approved Independent Auditor to provide to the ACCC details of any possible failure to comply by the Parties with the obligations in this Undertaking immediately upon such a possible failure to comply coming to the attention of the Approved Independent Auditor.
- (e) The Parties must implement any recommendations of the Approved Independent Auditor made pursuant to clause 8.5(b)(iv), and notify the ACCC of the implementation of the

recommendations, within 10 Business Days of receiving the Auditor's Report or after a period agreed with the ACCC.

- (f) The Parties will take any steps directed by the ACCC in relation to the matters arising from any Auditor's Report of the Approved Independent Auditor, within 10 Business Days of being directed to do so (or such longer period as is agreed with the ACCC).

8.6 Resignation or termination of the Approved Independent Auditor

- (a) The Parties must immediately notify the ACCC in writing in the event that an Approved Independent Auditor resigns or otherwise stops acting as an Approved Independent Auditor before the termination of this Undertaking pursuant to clause 4.2.
- (b) The ACCC may approve any proposal by, or alternatively may direct, the Parties to terminate an Approved Independent Auditor if in the ACCC's view the Approved Independent Auditor acts inconsistently with the provisions of this Undertaking or the terms of his or her appointment.
- (c) If either clauses 8.6(a) or 8.6(b) applies, the ACCC may nominate an alternative auditor to be the Approved Independent Auditor.
- (d) The Parties must, within five Business Days of the ACCC nominating an alternative Approved Independent Auditor:
 - (i) appoint the Approved Independent Auditor nominated by the ACCC on terms approved by the ACCC and consistent with the performance by the Approved Independent Auditor of his or her functions under this Undertaking; and
 - (ii) forward to the ACCC a copy of the executed terms of appointment.

8.7 Reporting to the Approved Independent Auditor

Without limiting any other obligations under this Undertaking, from the Completion Date until the Divestiture Date the Parties will provide the following information to the Approved Independent Auditor:

- (a) a weekly sales report, showing all stock movements relating to Products which form part of the Divestiture Business;
- (b) a weekly report for each product which forms part of the Divestiture Business, showing current sales for the week, month and year to date, compared to the corresponding period in the previous year;
- (c) monthly market trend data for cigars produced by PricewaterhouseCoopers;
- (d) monthly Aztec petrol and grocery channel data for cigars; and
- (e) a monthly report on activities undertaken to implement the current marketing plan for the Products which form part of the Divestiture Business.

9 Failure to divest the Divestiture Business within the Divestiture Period

9.1 Sale of the Unsold Divestiture Business

In the event that the sale of the Divestiture Business to an Approved Purchaser is not completed by the end of the Divestiture Period, the business becomes an Unsold Business (**Unsold Business**).

9.2 Proposed Divestiture Agent

- (a) At least 20 Business Days prior to the Divestiture Business becoming an Unsold Business, the Parties must identify a prospective divestiture agent to effect the sale of the Unsold Business (**Proposed Divestiture Agent**) and provide the ACCC with written notice of the identity of the Proposed Divestiture Agent.
- (b) The written notice referred to in clause 9.2(a) is to include such information and documents as the ACCC requires to assess whether to object to the appointment of the Proposed Divestiture Agent, including the proposed terms of appointment.
- (c) The Proposed Divestiture Agent must be a person who has the qualifications and experience necessary to effect the sale of the Unsold Business and is independent of the Parties. The criteria by which the independence of the Proposed Divestiture Agent will be determined include whether the person:
 - (i) is a current employee or officer of either or both of the Parties;
 - (ii) is a person who has been an employee or officer of either or both of the Parties in the past three years;
 - (iii) is a person who, in the opinion of the ACCC, holds a material interest in either or both of the Parties;
 - (iv) is a professional adviser of either or both of the Parties, whether current or in the past three years;
 - (v) is a person who has a contractual relationship, or is an employee or contractor of a firm or company that has a contractual relationship, with either or both of the Parties, but for the terms of any Approved Divestiture Agent agreement with the Parties;
 - (vi) is a supplier, or a person who is an employee or contractor of a firm or company that is a supplier of either or both of the Parties;
 - (vii) is a customer of, or a person who is an employee or contractor of a firm or company that has a contractual relationship with, either or both of the Parties; or
 - (viii) has, or has had, any other relationship with either or both of the Parties which, in the opinion of the ACCC, is likely to affect the ability of the person to act independently.

9.3 Appointment of the Approved Divestiture Agent

If:

- (a) within 10 Business Days of receipt by the ACCC of the written notice referred to in clause 9.2(a); or
- (b) such further period as is required by the ACCC and notified to the Parties in writing prior to the expiration of the 10 Business Day period,

the ACCC informs the Parties that it:

- (c) does not object to the Proposed Divestiture Agent, the Parties will:
 - (i) appoint the Proposed Divestiture Agent as the Approved Divestiture Agent as soon as practicable, and within five Business Days of the date on which the ACCC informs the Parties that it does not object to the appointment of the Proposed Divestiture Agent as the Approved Divestiture Agent, on terms approved by the ACCC and consistent with the performance by the Approved Divestiture Agent of his or her functions under this Undertaking; and
 - (ii) forward to the ACCC a copy of the executed terms of appointment within one Business Day of its execution; or
- (d) does object to the Proposed Divestiture Agent, the Parties will:
 - (i) appoint a person identified by the ACCC at its absolute discretion as the Approved Divestiture Agent, within five Business Days of the ACCC nominating the alternative person, on terms approved by the ACCC and consistent with the performance by the Approved Divestiture Agent of his or her functions under this Undertaking; and
 - (ii) forward to the ACCC a copy of the executed terms of appointment within one Business Day of its execution.

9.4 Obligations relating to the Approved Divestiture Agent

- (a) The Parties must procure that the terms of appointment of the Approved Divestiture Agent include obligations to the effect that the Approved Divestiture Agent:
 - (i) must continue to satisfy the independence criteria in clause 9.2(c) for the period of his or her appointment;
 - (ii) must divest the Unsold Business, at no minimum price, to an Approved Purchaser approved by the ACCC in accordance with clause 9.8 of this Undertaking;
 - (iii) must inform the ACCC immediately of all offers for the Unsold Business;
 - (iv) must immediately accept any offer for the Unsold Business upon instruction from the Parties given in accordance with clause 9.4(b);
 - (v) may charge such fees as are agreed between the Approved Divestiture Agent and the Parties (but not fees contingent on the price to be obtained for the Unsold Business), and to be paid by the Parties. If an agreement cannot be reached between the Approved Divestiture Agent and the Parties within five Business Days from the date of:
 - (A) the Divestiture Business becoming an Unsold Business; or

- (B) the ACCC nominating an alternative Approved Divestiture Agent under clause 9.6(c),

the Parties agree to pay such fees as are directed by the ACCC;

- (vi) is the only person who may divest the Unsold Business after the Approved Divestiture Agent's appointment;
- (vii) may retain any lawyer or other adviser or agent reasonably required to effect the sale of the Unsold Business, and the fees of that adviser or agent must be paid by the Parties;
- (viii) must use his or her best endeavours to enter into a binding agreement for the sale of the Unsold Business as quickly as possible adopting a standard form Sale and Purchase Agreement prepared by the Parties and previously approved by the ACCC;
- (ix) must account to the Parties for:
 - (A) any moneys derived from the divestiture of the Unsold Business;
 - (B) all disbursements, fees and charges incurred by the Approved Divestiture Agent in undertaking his or her duties; and
 - (C) all agreed fees of the Approved Divestiture Agent (including the fees of any adviser appointed under clause 9.4(a)(vii);
- (x) must provide a written report to the ACCC and the Parties on the first Business Day of each month until the Divestiture Date concerning:
 - (A) the efforts made to sell the Unsold Business;
 - (B) disbursements, fees and charges incurred;
 - (C) the identity and function of any advisers engaged;
 - (D) the identity and contact details of any persons expressing interest in the Unsold Business; and
 - (E) any other information required by the ACCC or the Parties;
- (xi) must use best endeavours to ensure that the Parties comply with their obligations as set out in this clause 9 and report to the ACCC any failure by the Parties to do so;
- (xii) must follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Divestiture Agent under this Undertaking;
- (xiii) not use any confidential information gained through the management of the Unsold Business other than for performing his or her functions as Approved Divestiture Agent; and
- (xiv) report or otherwise inform the ACCC directly of any issues that arise in the performance of his or her functions as Approved Divestiture Agent or in relation to any matter that may arise in connection with this Undertaking.

- (b) The ACCC may direct the Parties to instruct the Approved Divestiture Agent to accept any offer for the Unsold Business notified to it under clause 9.7 of this Undertaking.
- (c) The Parties must comply with any direction made under clause 9.4(b) within five Business Days.
- (d) Without limiting the obligations in this Undertaking, the Parties must:
 - (i) comply with and enforce the terms upon which the Approved Divestiture Agent is appointed in clause 9.4(a) and elsewhere in this Undertaking;
 - (ii) indemnify the Approved Divestiture Agent for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Divestiture Agent of his or her functions as the Approved Divestiture Agent except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Divestiture Agent;
 - (iii) not interfere with, or otherwise hinder, the Approved Divestiture Agent's ability to carry out his or her functions as Approved Divestiture Agent;
 - (iv) ensure that the Approved Divestiture Agent will provide information or documents requested by the ACCC directly to the ACCC;
 - (v) ensure that the Approved Divestiture Agent undertakes to report and respond to the ACCC, or otherwise informs the ACCC, directly of any issues that arise in the performance of his or her functions as Approved Divestiture Agent or in relation to any matter that may arise in connection with this Undertaking;
 - (vi) provide to the Approved Divestiture Agent any information or documents requested by the Approved Divestiture Agent that he or she considers necessary to effect the sale of the Unsold Business, or for reporting to or otherwise advising the ACCC;
 - (vii) assist the Approved Divestiture Agent to effect the sale of the Unsold Business as quickly as possible;
 - (viii) not authorise the Approved Divestiture Agent to sell the Unsold Business to a purchaser other than an Approved Purchaser;
 - (ix) not contract to sell the Unsold Business on terms which would be inconsistent with the Approved Divestiture Agent's role, the granting of authority to the Approved Divestiture Agent under clause 9.5(b), or any other obligation in this Undertaking;
 - (x) take any steps directed by the ACCC in relation to matters arising from a report of the Approved Divestiture Agent referred to in this clause 9 within 10 Business Days of being so directed (or such longer period agreed with the ACCC);
 - (xi) maintain and fund the Approved Divestiture Agent to carry out his or her functions; and
 - (xii) provide and pay for any external expertise, assistance or advice required by the Approved Divestiture Agent to perform his or her functions as the Approved Divestiture Agent.

9.5 Powers of the Approved Divestiture Agent

- (a) The Approved Divestiture Agent is the only person who may effect the divestiture of the Unsold Business.

- (b) The Parties must grant the Approved Divestiture Agent an irrevocable power of attorney conferring all necessary power and authority to effect the divestiture of the Unsold Business on terms considered by the Approved Divestiture Agent in his or her sole discretion to be consistent with this Undertaking.
- (c) Any irrevocable power of attorney granted pursuant to clause 9.5(b) will end upon resignation or termination of the Approved Divestiture Agent in accordance with clause 9.6.

9.6 Resignation or termination of the Approved Divestiture Agent

- (a) The Parties must immediately notify the ACCC in the event that an Approved Divestiture Agent resigns or otherwise stops acting as an Approved Divestiture Agent before the Divestiture Date.
- (b) The ACCC may approve any proposal by, or alternatively may direct, the Parties to terminate an Approved Divestiture Agent if in the ACCC's view the Approved Divestiture Agent acts inconsistently with the provisions of this Undertaking.
- (c) If either clause 9.6(a) or 9.6(b) applies, the ACCC may nominate an alternative Approved Divestiture Agent.
- (d) The Parties must, within two Business Days of the ACCC nominating an alternative Approved Divestiture Agent:
 - (i) appoint the Approved Divestiture Agent nominated by the ACCC on terms approved by the ACCC and consistent with the performance by the Approved Divestiture Agent of his or her functions under this Undertaking; and
 - (ii) forward to the ACCC a copy of the executed terms of appointment.

9.7 Proposed Purchaser Notice

If the Approved Divestiture Agent seeks to have a purchaser approved by the ACCC for the purposes of clause 9.4(a)(ii) above (**Proposed Purchaser**), the Approved Divestiture Agent must give the ACCC a written notice (**Proposed Purchaser Notice**), containing:

- (a) the name, address, telephone number and any other available contact details of the Proposed Purchaser;
- (b) a copy of the relevant Sale and Purchase Agreement prepared by the Approved Divestiture Agent;
- (c) a description of the business carried on by the Proposed Purchaser including the locations in which the Proposed Purchaser carries on its business;
- (d) details of the Proposed Purchaser's experience in the relevant markets;
- (e) the names of the owner and the directors of the Proposed Purchaser; and
- (f) a submission from the Parties addressing the factors set out in clause 9.8(b) below.

9.8 Approval Notice

- (a) The ACCC may, within 15 Business Days after receipt by the ACCC of the Proposed Purchaser Notice, or such further period as is required by the ACCC, provide the Approved Divestiture Agent with a written notice (**Approval Notice**) stating that the Proposed Purchaser is an Approved Purchaser.

- (b) Without limiting the ACCC's discretion, in making a decision to provide an Approval Notice, the factors the ACCC will have regard to include whether:
 - (i) the Proposed Purchaser will complete the transaction contemplated by the relevant Sale and Purchase Agreement prepared by the Approved Divestiture Agent and approved by the ACCC pursuant to which the Proposed Purchaser will acquire from the Parties the Unsold Business;
 - (ii) the Proposed Purchaser is independent of, and has no direct or indirect interest in either or both of the Parties;
 - (iii) the Proposed Purchaser is of good financial standing and has an intention to maintain and operate the Unsold Business as a going concern;
 - (iv) the Proposed Purchaser is able to conduct the Unsold Business effectively; and
 - (v) the divestiture of the Unsold Business to the Proposed Purchaser will address any competition concerns of the ACCC, including the likely long-term viability and competitiveness of the Unsold Business under the ownership of the Proposed Purchaser.
 - (c) The ACCC may, at any time, revoke its acceptance of the Approved Purchaser if the ACCC becomes aware that the information provided to it was incorrect, inaccurate or misleading.
-

10 Information

- (a) The Parties must notify the ACCC in writing of the date which the Parties anticipate will be the Completion Date at least five Business Days before that date.
- (b) The Parties must notify the ACCC in writing of the occurrence of:
 - (i) the completion of the Proposed Merger within one Business Day of the Completion Date; and
 - (ii) the divestiture of the Divestiture Business within one Business Day of the Divestiture Date.
- (c) The Parties must provide the ACCC with a copy of the executed Sale and Purchase Agreement, and any other agreements between the Parties and the Approved Purchaser relating to the sale of the Divestiture Business, within one Business Day of that agreement being executed.
- (d) The Parties must respond in a timely manner to any queries or requests for information or documents made by the ACCC.
- (e) The ACCC may request information from the Approved Divestiture Agent and/or the Approved Independent Auditor directly at any time and the Approved Divestiture Agent and/or the Approved Independent Auditor (as the case may be) will provide the information so requested directly to the ACCC, or as otherwise required by the ACCC.
- (f) The ACCC may direct the Parties in respect of their compliance with this Undertaking to, and the Parties must:
 - (i) furnish information, documents and materials to the ACCC in the time and in the form requested by the ACCC;

- (ii) produce information, documents and materials to the ACCC within the Parties' custody, power or control in the time and in the form requested by the ACCC; and/or
 - (iii) direct their personnel, including their directors, contractors, managers, officers, employees and agents, to attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (including its Commissioners, its staff or its agents) may have.
- (g) In respect of the Parties' compliance with this Undertaking, the ACCC may request the Approved Independent Auditor or the Approved Divestiture Agent to:
 - (i) furnish information, documents and materials to the ACCC in the time and in the form requested by the ACCC;
 - (ii) produce information, documents and materials to the ACCC within the Approved Independent Auditor's or Approved Divestiture Agent's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (iii) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (including its Commissioners, its staff or its agents) may have.
- (h) The Parties will use their best endeavours to ensure that the Approved Independent Auditor or Approved Divestiture Agent complies with any request from the ACCC in accordance with clause 10(g).
- (i) Information furnished, documents and material produced or information given in response to any request or direction from the ACCC under this clause may be used by the ACCC for any purpose consistent with the exercise of its statutory duties.
- (j) Any direction made by the ACCC under clause 10(f) will be notified to the Parties, in accordance with clause 15.1.
- (k) The ACCC may, in its discretion, to be exercised in good faith:
 - (i) advise the Approved Independent Auditor or Approved Divestiture Agent of any request made by it under this clause 10; and/or
 - (ii) provide copies to the Approved Independent Auditor or Approved Divestiture Agent of any information furnished, documents and material produced or information given to it under this clause 10.
- (l) Nothing in this clause 10 requires the provision of information or documents in respect of which the Parties have a claim of legal professional privilege.

11 Disclosure of Undertaking

- (a) The Parties and the ACCC agree that:
 - (i) paragraph 1(a) of Confidential Schedule 2 will remain confidential until after the Divestiture Date; and
 - (ii) all other paragraphs of Confidential Schedule 2 will remain confidential at all times.
- (b) The Parties acknowledge that the ACCC may, subject to clause 11(a):
 - (i) make this Undertaking publicly available;

- (ii) publish this Undertaking on its Public Section 87B Undertakings Register; and
 - (iii) from time to time publicly refer to this Undertaking.
- (c) Nothing in the confidential parts of this Undertaking prevents the ACCC from disclosing such information as:
 - (i) is required by law;
 - (ii) is permitted by s 155AAA of the Act; or
 - (iii) is necessary for the purpose of enforcement action under section 87B of the Act.
- (d) Nothing in the confidential schedule of this Undertaking prevents the ACCC from using the information contained in this Undertaking for any purpose consistent with its statutory functions and powers.

12 Obligation to procure

Where the performance of an obligation under this Undertaking requires a Related Body Corporate of either of the Parties to take or refrain from taking some action, the relevant Party will procure that Related Body Corporate to take or refrain from taking that action, as the case may be.

13 No Derogation

- (a) This Undertaking does not prevent the ACCC from taking enforcement action at any time whether during or after the period of this Undertaking in respect of any breach by either or both of the Parties of any term of this Undertaking.
- (b) Nothing in this Undertaking is intended to restrict the right of the ACCC to take action under the Act for penalties or other remedies in the event that either or both of the Parties do not fully implement and/or perform their obligations under this Undertaking or in any other event where the ACCC decides to take action under the Act for penalties or other remedies.

14 Costs

The Parties must pay all of their own costs incurred in relation to this Undertaking.

15 Notices

15.1 Giving Notices

- (a) Any notice or communication to the ACCC pursuant to this Undertaking must be sent to:

Name:	Australian Competition and Consumer Commission
Address:	23 Marcus Clarke Street CANBERRA ACT 2601
Fax number:	(02) 6243 1212
Attention:	Executive General Manager – Mergers and Acquisitions Group

(b) Any notice or communication to SH pursuant to this Undertaking must be sent to:

Name: Gilbert + Tobin Lawyers
Address: Level 37, 2 Park Street
Sydney, NSW 2000
Fax number: (02) 9263 4111
Attention: Simon Snow, Partner

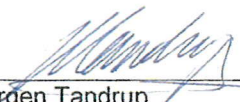
(c) Any notice or communication to SM pursuant to this Undertaking must be sent to:

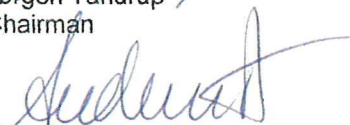
Name: Gilbert + Tobin Lawyers
Address: Level 37, 2 Park Street
Sydney, NSW 2000
Fax number: (02) 9263 4111
Attention: Simon Snow, Partner

15.2 Change of address or fax number

If either of the Parties or the ACCC gives the other three Business Days' notice of a change to its address or fax number, any notice or communication is only given to the relevant entity if it is delivered, posted or faxed to the most recently advised address or fax number.

Signed by **Skandinavisk Holding A/S** by its authorised signatories:



Jørgen Tandrup
Chairman

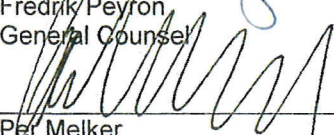
Anders C. Friis
Chief Executive Officer

22.9.2010

Date

Signed by **Swedish Match A/B** by its authorised signatories:



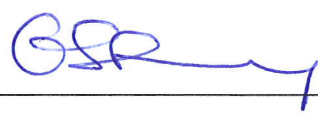
Fredrik Peyron
General Counsel

Per Melker
Vice President Group Reporting and Tax

23.9.2010

Date

Accepted by **The Australian Competition and Consumer Commission** pursuant to section 87B of the Trade Practices Act 1974 (Cth):



Graeme Julian Samuel
Chairman

29th September 2010

Date:

Schedule 1 Dictionary

1.1 Dictionary

In this Undertaking:

Act means the *Trade Practices Act 1974* (Cth).

Approved Purchaser means a Proposed Purchaser approved by the ACCC in accordance with clause 6.2 or 9.8.

Business Day means a day other than a Saturday or Sunday on which banks are open for business generally in the Australian Capital Territory.

Completion Date means the date on which the Proposed Merger is completed.

Consumer Price Index means the Consumer Price Index (weighted average of eight capital cities) All Groups number published from time to time by the Australian Bureau of Statistics.

Corporations Act means *Corporations Act 2001* (Cth).

Divestiture Business means the assets set out in Schedule 3 and described in clause 5.

Divestiture Date means the date on which neither of the Parties have any ownership or control of the Divestiture Business and on which the ACCC confirms in writing to the Parties that it is satisfied that the divestiture has been completed in accordance with this Undertaking.

Divestiture Period [the remainder of this clause is in Confidential Schedule 2].

Excluded Employee [the remainder of this clause is in Confidential Schedule 2].

Intellectual Property includes all rights in relation to copyright, trademarks, inventions (including patents, innovation patents and utility models), confidential information, trade secrets, technical data, information, know-how, formulae, specifications, drawings, data, manuals and instructions which are owned by the Parties and used for the operation of the Divestiture Business and are necessary for the viability, marketability and competitiveness of the Divestiture Business.

Material Change means any change to the structure, attributes, extent or operations of the Divestiture Business that may affect, or impact on, the Divestiture Business' competitiveness, independence from the Parties and its viability.

Products are the products that form part of the Divestiture Business listed in Schedule 3.

Public Section 87B Undertakings Register means the ACCC's public register of s 87B undertakings, available at www.accc.gov.au.

Related Bodies Corporate has the meaning given to it in section 4A of the *Trade Practices Act 1974*.

Sale and Purchase Agreement means an agreement or agreements in respect of the sale and purchase of the Divestiture Business.

Subsidiary has the meaning given to it in section 4A of the *Trade Practices Act 1974*.

Third Party Consents means any consents (excluding by a governmental agency or authority) required for the assignment, novation, sale, sub-licensing or transfer of any assets, licences or contracts required by the Divestiture Business.

Technical Assistance includes advising on technical knowledge documentation, supporting the Approved Purchaser in acquiring specific equipment, providing staff with suitable experience and skills to assist and/or advise on technical issues, assisting in training for the Approved Purchaser's staff, and providing guidance on regulatory and legal aspects relating to the application for licences.

Undertaking is a reference to all the provisions of this document including its schedules.

1.2 Interpretation

In the interpretation of this Undertaking, the following provisions apply unless the context otherwise requires:

- (a) a reference to 'this Undertaking' includes all of the provisions of this document including its schedules;
- (b) headings are inserted for convenience only and do not affect the interpretation of this Undertaking;
- (c) if the day on which any act, matter or thing is to be done under this Undertaking is not a Business Day, the act, matter or thing must be done on the next Business Day;
- (d) a reference in this Undertaking to any law, legislation or legislative provision includes any statutory modification, amendment or re-enactment, and any subordinate legislation or regulations issued under that legislation or legislative provision;
- (e) a reference in this Undertaking to any company includes its Related Bodies Corporate;
- (f) a reference in this Undertaking to any agreement or document is to that agreement or document as amended, novated, supplemented or replaced;
- (g) a reference to a clause, part, schedule or attachment is a reference to a clause, part, schedule or attachment of or to this Undertaking;
- (h) an expression importing a natural person includes any company, trust, partnership, joint venture, association, body corporate or governmental agency;
- (i) where a word or phrase is given a defined meaning, another part of speech or other grammatical form in respect of that word or phrase has a corresponding meaning;
- (j) a word which denotes the singular also denotes the plural, a word which denotes the plural also denotes the singular, and a reference to any gender also denotes the other genders;
- (k) a reference to the words 'such as', 'including', 'particularly' and similar expressions is to be construed without limitation;
- (l) a construction that would promote the purpose - or object - underlying this Undertaking (whether expressly stated or not) will be preferred to a construction that would not promote that purpose or object;

- (m) material not forming part of this Undertaking may be considered to:
 - (i) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in this Undertaking and the competition concerns intended to be addressed by this Undertaking and the clause in question; or
 - (ii) determine the meaning of the clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in this Undertaking and the purpose or object underlying this Undertaking, leads to a result that does not promote the purpose or object underlying this Undertaking;
- (n) in determining whether consideration should be given to any material in accordance with paragraph (m), or in considering any weight to be given to any such material, regard must be had, in addition to any other relevant matters, to:
 - (i) the effect that reliance on the ordinary meaning conveyed by the text of the clause would have (taking into account its context in this Undertaking and whether that meaning promotes the purpose or object of this Undertaking); and
 - (ii) the need to ensure that the result of this Undertaking is to completely address any ACCC competition concerns;
- (o) the ACCC may authorise the Mergers Review Committee, a member of the ACCC or a member of the ACCC staff, to exercise a decision making function under this Undertaking on its behalf and that authorisation may be subject to any conditions which the ACCC may impose;
- (p) in performing its obligations under this Undertaking, the Parties will do everything reasonably within its power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of this Undertaking;
- (q) a reference to:
 - (i) a thing (including, but not limited to, a chose in action or other right) includes a part of that thing;
 - (ii) a party includes its successors and permitted assigns; and
 - (iii) a monetary amount is in Australian dollars.

Schedule 2 Confidential

Schedule 3 Divestiture Business

The Divestiture Business consists of:

- 1 The assignment to the Approved Purchaser of the following trade mark registrations in Australia, subject to a non-exclusive licence-back to STG for a reasonable period (not to exceed eight months after the Divestiture Date) to enable STG to remove the Willem II mark from packaging for its Amanda and Moments branded products in an orderly fashion (within six months after the Divestiture Date) and to sell off its stocks of those products:

Trademark	Country	Registration number	Owner
Willem II (word)	Australia	569054	Willem II Sigarenfabrieken BV
Willem II (word and design)	Australia	593655	Willem II Sigarenfabrieken BV
Wee Willem (word)	Australia	569072	Willem II Sigarenfabrieken BV

- 2 The assignment to the Approved Purchaser of all Australian copyright held by STG in relation to packaging, sales and marketing material relating to the Products that form part of the Divestiture Business, as described in paragraph 4 below, subject to a licence-back to STG for a reasonable period (not to exceed eight months after the Divestiture Date) to enable STG to remove the Willem II mark from any packaging and sales and marketing material relating to the Amanda and Moments branded products in an orderly fashion (within six months after the Divestiture Date) and to sell off its stocks of those products.
- 3 A licence of any other Intellectual Property rights held by STG necessary to give the Approved Purchaser a right to non-exclusively manufacture the products that form part of the Divestiture Business as set out in paragraph 4 below anywhere in the world and to exclusively market and sell these products in Australia. These Intellectual Property rights include existing product recipes.
- 4 The products that form part of the Divestiture Business are:

Divestiture Brand	Variant
Willem II	Corona Deluxe
	Corona Optimum
	Half Corona
	Long Panatella
	Royal Cigarillo
	Royal Corona
	Royal Slim Corona
	Short Panatella
	Slim Corona
Wee Willem	Single BLUE
	Single REGULAR
	Single Aromatic
	Wee Willem Aromatic

Divestiture Brand	Variant
	Wee Willem Aroma Filter
	Wee Willem Blue
	Wee Willem Gold
	Wee Willem Regular

- 5 Stock of finished products which form part of the Divestiture Business which have been packaged for sale in Australia.
- 6 Stock of packaging for products which form part of the Divestiture Business.
- 7 All books, business records and other documents, including customer data, exclusively relating to or necessary for the operation of the Divestiture Business, provided that SM may redact from such copies any information that does not relate to the Divestiture Business.